

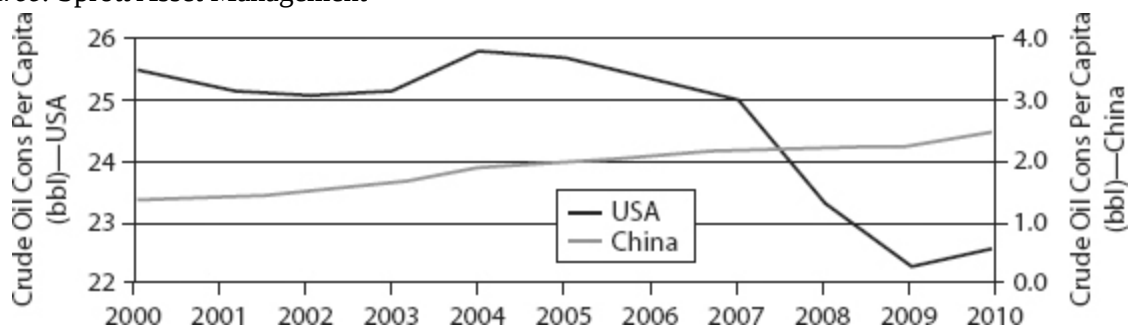
What has been discovered and brought into production in the past few decades are smaller fields, which normally have higher decline rates. As these new smaller fields replace production from larger fields, and older larger fields age, we can expect the global observed decline rate to increase from the current estimated rate of 6.7% (or 4.7 million barrels per day annually).⁶

See [Figure 5.1](#). It shows that there is considerable oil available. But it comes with a higher price tag. And it demands many years of investment to bring it online. Obviously, no one will make the investment unless they are pretty sure the price will be high enough—when they are finally bringing their product to market—to justify the investment. Mr. Bambrough concludes that \$75-per-barrel oil is needed simply to maintain current levels of production.

But current levels of production aren't good enough. While the developed world's use of energy is on the decline, the emerging world can't get enough of it. The reason is self-evident. The emerging world has billions of people who don't already own all of the energy-guzzling paraphernalia of modern life. And they are acquiring the means to afford it (see [Figure 5.2](#)).

[Figure 5.2](#) China vs. USA

Source: Sprott Asset Management



[Figure 5.2](#) tells the China story. There's also Russia, Indonesia, Brazil, India, Turkey, and many other high-growth emerging nations. We don't necessarily believe that any of them will become the America of the twenty-first century. But we take it for granted that they will be the big oil users of the future. At present, the per-capita use of oil in the United States is 10 times what it is in China. But the trend is clear: Oil use in the emerging world is rising rapidly, as you'd expect.